Options strategies with reversal levels

Level: Advanced

Prerequisites: #1 – Basic Strategy

#7 – Swing Trading with MoM

Trading options or other leveraged products based on the reversal levels and MoM indicator is a way to boost returns without taking on too much extra risk.

It would go too far to explore all possible strategies, but we can show some favorite methods. Some prior experience with options trading is useful, but not strictly needed.

A few general observations first:

1 – Because options have an expiration date, time works against us if we are the buyers of those contracts. The price of the underlying stock or index needs to move significantly within a limited period of time for our option trades to be profitable. The timing of entry and exit is most important.

2 – Not all stocks have very active options markets. It is better to stick with options on the most active stocks (such as the Nasdaq 100 components) and ETFs (SPY or QQQ). Options on leveraged and inverse ETF products are best avoided. The most liquid options market on a given underlying index is usually the largest unleveraged ETF on that index.

3 – Writing options on long positions can create a nice extra income and reduce risk. See method 3.

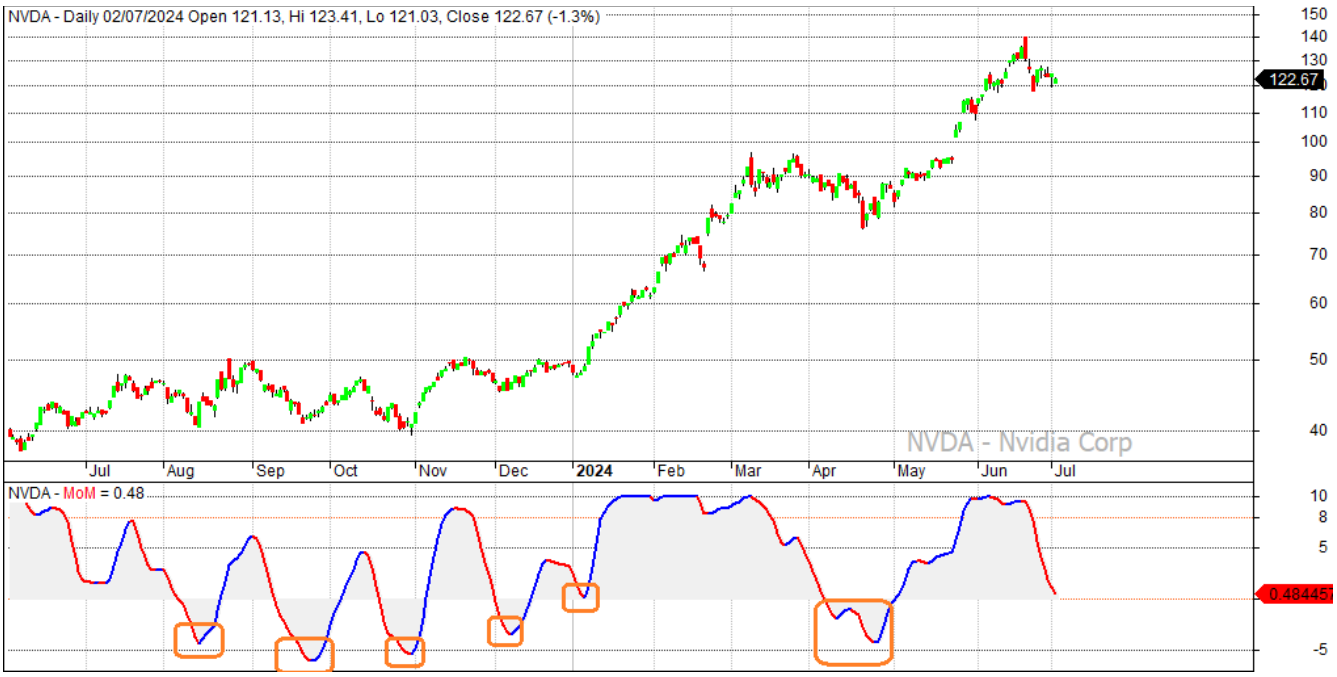
4 – Some options traders tend to be attracted to “inexpensive” out of the money put options on stocks that have gone up a lot. They hope the stock will crash 30% and make them rich overnight. While this will work once in a blue moon it is basically the “casino use” of options. We have a few ways to narrow down the choices when it comes to buying put options. See method 4.

5 – The strategies below will be explained in the context of daily reversal levels. It is best to use options with at least a few months left until expiration. The same strategies can also be used on the basis of the weekly reversal levels. Then it’s best to use longer term LEAPS options with a year until expiration.

Method 1: buying call options at spBuy or dBuy signals

The best time to buy call options is after a significant decline (which depresses call option premiums) and just before the start of a new rally. Of course that's easier said than done.

Our MoM indicator usually does a good job at indicating those opportunities. Here is a chart of the current darling tech stock NVDA. Buying call options on MoM bottoms at or below the zero line has worked very well:



A typical upswing after a MoM low lasts 2 to 4 weeks, which is why we prefer to buy call options with about 2 months until expiration.

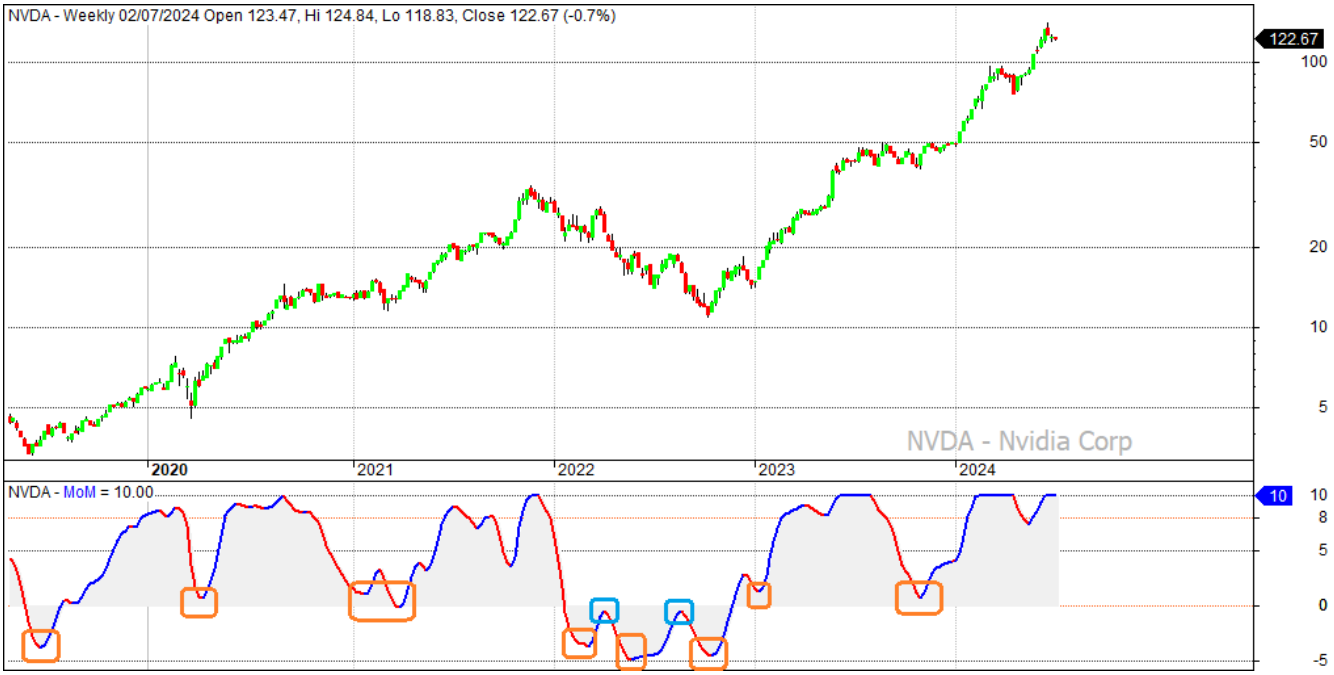
We will not always win with this method. As seen in April 2024, a MoM low can quickly be followed by another dip and an even lower MoM low.

In that case we take the loss on the first calls we bought in early April, and subsequently buy calls again on the next MoM low in late April. Taking losses is always a part of the game.

When do you take profit?

Answer: early enough. If we get a good rally then it's best to sell our calls as soon as MoM starts topping out. Sometimes we will sell too early, but with time working against us that is better than waiting too long.

Here is the weekly NVDA chart, same concept:



Buying LEAPS call options at the major weekly MoM lows made for some great trades.

Buying calls at MoM lows near the zero line, after a multi-month pause or correction, works well too. A MoM low after a long sideways (see early 2021 and late 2023 here) usually comes with attractive call options prices because implied volatility becomes low after months of choppy sideways.

Sometimes we will buy too early, see 2022. In that case MoM turning back down without reaching the zero line is the signal to sell our call options. We take that loss and wait for the next chance. In this example the third chance was the good one (and it also came with a bullish divergence).

When to sell? Again better early than late. We can wait and hope until MoM reaches +10 for a very big profit. But a +10 is not always reached. Use common sense.

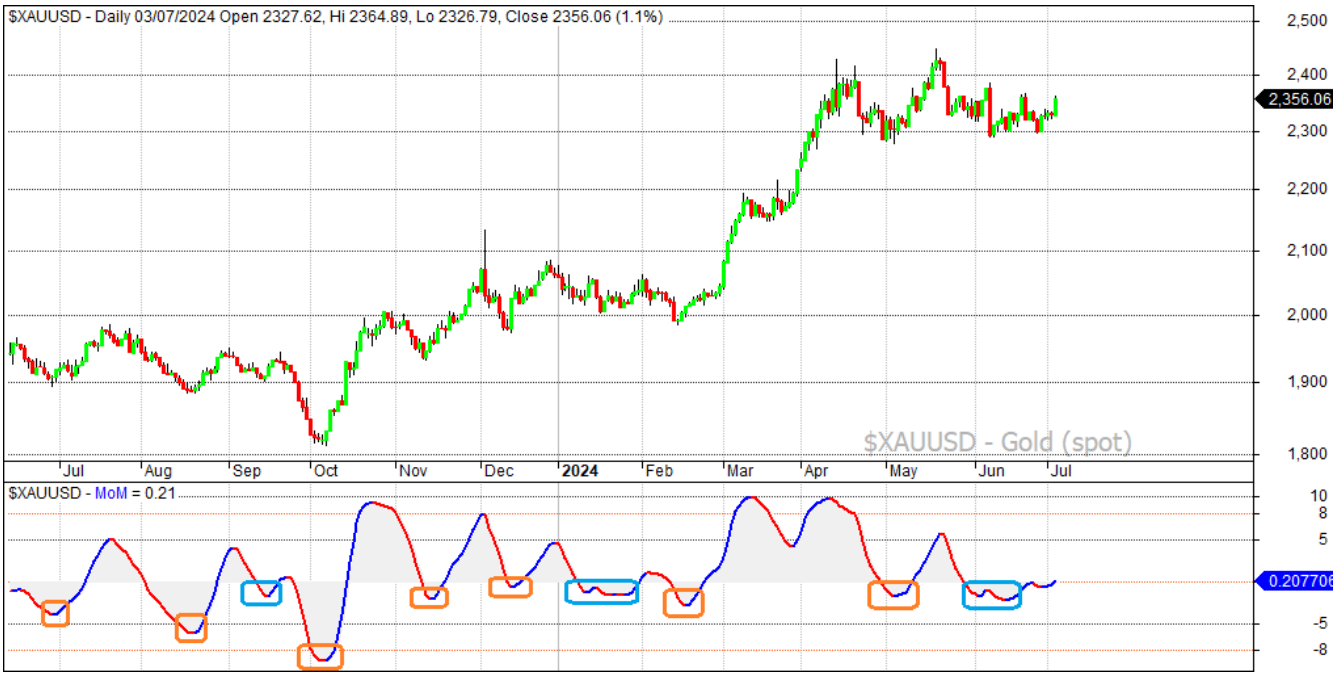
Which strike prices to select?

As a general rule it's best to use the option series that is closest to the reversal level at the moment of opening the trade. E.g., if we use a weekly MoM bottom to buy LEAPS call options then we use the weekly reversal level as the basis for our strike price.

As a last example, here is gold in the recent year.

Orange circles show the MoM lows that became good opportunities to buy call options.

The blue circles shows occasions where we didn't get much of a rally, so a loss was taken. Handling losses can not be avoided. The aim is to get a good batting average.



Selecting candidates

When MoM changes direction it is shown with a yellow background in the reversal levels tables. That makes it easier to spot. Here is an example for Nasdaq 100 stocks on July 27, 2024:

My1 | My2 | All | Index | Nas 100 | S&P 500 | S&P 400 | S&P 600 | ETF | US other | Forex | Crypto | Stats

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Daily reversal levels as of the close on July 26, 2024

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action
CrowdStrike Holdings	CRWD	256.16	0		337.16	-10 ▼	7	27.17%	
Cadence Design Systems	CDNS	258.79	1		295.39	-9.07 ▼	7	10.56%	
ASML Holding NV	ASML	888.39	1		987.32	-8.93 ▼	7	6.83%	spBuy
Lam Research	LRCX	894.64	0		1013.2	-8.41 ▼	7	9.10%	spBuy
Applied Materials	AMAT	206.47	37		228.5	-8.32 ▼	7	7.06%	spBuy
Micron Technology	MU	109.41	0		124.38	-8.3 ▼	11	16.96%	spBuy
Advanced Micro Devices	AMD	139.99	1		164.48	-8.23 ▼	7	14.33%	
DexCom	DXCM	64	8		114.31	-8.08 ▼	6	42.72%	
Alphabet Inc	GOOGL	167	37		183.11	-8.02 ▼	7	8.21%	
Alphabet Inc	GOOG	168.68	37		184.68	-8.01 ▼	7	8.10%	
Lululemon Athletica Inc	LULU	253.5	18		291.5	-7.6 ▼	86	37.42%	
Microsoft	MSFT	425.27	77		447.42	-7.5 ▼	7	4.29%	
Constellation Energy	CEG	175.04	0		197.86	-7.02 ▼	8	13.40%	spBuy
Meta Platforms	META	465.7	79		498.6	-6.8 ▲	10	6.60%	
QUALCOMM Inc	QCOM	180.05	38		197.18	-6.7 ▼	7	7.09%	spBuy
Amazon.com Inc	AMZN	182.5	66		190.91	-6.62 ▲	7	3.74%	spBuy
Synopsys Inc	SNPS	546.38	0		590.59	-6.53 ▼	7	5.19%	spBuy
Booking Holdings	BKNG	3700.99	37		3936.51	-5.84 ▼	4	5.27%	
KLA-Tencor	KLAC	787.39	69		824.41	-5.43 ▲	7	0.81%	
NXP Semiconductors NV	NXPI	253.62	0		275.72	-5.14 ▼	3	2.74%	

MoM turns up from a significant bottom for META, AMZN and KLAC. That are candidates for buying a few call options on this day.

Stocks on spBuy signals deserve some attention too. They are getting ready to turn up. Hover or tap on the stock ticker to see the chart.

Sometimes MoM is very low in both the daily and the weekly tables. Then we have a more rare opportunity. Such chances may qualify as a spBuy+ or spBuy++ signal.

It's always good to check out why a given stock has declined. Was the decline caused by a temporary problem, or just overall market weakness, or a case of long term lasting damage to the prospects for the company?

There are no free lunches here. Our algos sort the stocks based on certain objective price based criteria. We will still need to use common sense before deciding on an options trade.

Method 2: using bull call spreads to enter positions

A known disadvantage of buying stocks on spBuy signals is that we have no stop-loss level because the reversal level is above the stock price. That's a big difference with the normal Buy signals and is also why those trades are more speculative.

Buying a stock on spBuy can lead to a rather significant loss if the stock keeps declining (for whatever reasons). A method to balance risk and reward is given with the controlled risk approach.(see PDF #7)

Options offer another way to solve this problem by buying a "bull call spread" instead of buying a stock outright. The bull call spread can ease us into a position with strictly limited risk.

Basically it works like this:

On a good spBuy signal we buy at-the-money call options with about 2 to 3 months until expiration, and simultaneously sell out-of-the-money call options with a strike price that is just above the reversal level at that moment.

In the worst case scenario our maximum loss is the net premium paid. But in most cases, if the trade goes against us, we will get a portion of the premium back when we cut the loss.

If the stock goes up after we put on the bull call spread, then our position will gain value and we can sell at a profit, or simply wait until expiration.

If the stock climbs above its reversal level then we can buy back the call option that was sold at the higher strike price. That leaves us with a deep into the money call option on a stock that is in bullish mode.

If the stock has gone double green in the meantime, and we want to keep it for longer term, then we can wait for the option to expire and get exercised. Then we have obtained stock at a favorable entry price.

Method 3: writing calls to generate extra income

Writing covered calls can be a good way to generate some extra income on stock positions we intend to hold longer term.

It is best done after a significant rally in the given stock. Usually a strong rally will propel the MoM indicator into the +8 zone, if not a +10. As soon as MoM turns down we can consider writing some at-the-money calls, backed by the stocks we own. When a stock has been climbing fast, the call option premiums are usually high, and we can try to collect them at the best possible moment.

A few things to consider:

1 – As shown in method 1, once a stock is making new all time highs it can keep climbing with MoM staying very high. If we wrote calls and the stock keeps going up, then we may be forced to buy the written call options back at a higher price. Or risk losing our stock position. But we would still achieve a pretty good exit price in that case.

2 – If MoM reaches +8 or +10 on a first upward thrust after a significant low, it is often not the right moment to write calls. Just be patient. If a bearish divergence (= dSell signal) appears on a next MoM high, then the chances for a pause or pullback are already better. Bear in mind that a sideways pause of a month or two is all it takes for this type of options trade to generate some income. And it can be repeated every couple of months, until our stock gets called away.

3 – The pP and pP+ signals also indicate setups where we can consider writing call options. It's important to consider the age of the move (see "Age" column in the tables). A pP signal after only 10 days of bullish mode is very early. If the stock is "double green" then it is generally better to wait for a next MoM peak and/or pP signal.

4 – A quick look at the stock chart (hover or tap over the ticker in the tables) is useful for spotting the better chances. A MoM peak or pP signal that happens with the stock making a double top or while bumping into the ceiling of the Envelope, is a better candidate to sell some calls. The PuLL indicator is helpful too (see PDF #9 and #10 about our charts)

5 – We don't have to wait until the written calls expire worthless. If the stock pulls back right after we wrote calls, then any decline in the stock can create a quick chance to close this options trade at a good profit.

6 – Working with daily charts and daily reversal levels, we can write calls with 1 or 2 months left until expiration. Those options lose premium more quickly. Based on weekly reversal levels we can write calls with up to 6 months to go.

Method 4: put options

The same concepts (as in method 3) are also useful to select candidates for buying put options.

pP and pP+ signals, as well as dSell signals, can be used as entry points for put options. Usually stocks decline more fast than they climb, so it's best to focus on strike prices that are more near the reversal level or even just below it. Those options are cheaper and if the stock goes into a decline it can go fast. That's when those cheap put options can be most rewarding.

When to take our profit? If we bought puts with 2 or 3 months until expiration, then we have to take the profit quickly. If there is a serious decline or even panic, one can take profit on half the position and keep the rest. But don't wait too long. An equally sharp rebound can come right on the heels of a sudden panic move.

This is where some experience and gut feeling come in. There are no fixed formulas for this.

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